First principles in practice

EIGHT CASES FROM EIGHT INDUSTRIES · GLADE ADVISORY GROUP · GLADEADVISORYGROUP.DK

What it means in practice

Most commercial problems get the obvious answer: cut the price, buy more leads, close stores, go digital. The obvious answer often treats the symptom.

First principles means starting somewhere else. I take the problem apart down to what is actually true: who pays, what drives behaviour, where value is created and where it leaks. Then I build the solution up again from there.

In every case I ask the same four questions:

1. **What is the real problem**, not the symptom?
2. **Which incentives** steer the people who need to change their behaviour?
3. **Where is the value** in the customer economics, and where does it leak?
4. **How do we prove the effect** before we scale?

The cases below show the method in eight very different industries. They are anonymised and contain no names and no internal data. Each case is labelled with the kind of work it is:

- **Advisory** is work done for or with a company.
- **Strategic perspective** is an outside-in analysis based on public data, written as a proposal to a leadership team or board.

1. Grocery retail: when full shelves cost money

Industry: Discount grocery · **Type:** Strategic perspective

Context. A Danish discount chain is losing money while its closest competitor is profitable on the same format.

The obvious answer. Cut prices or close the weakest stores.

The first-principles question. If customers choose discount for price and proximity, what is the chain paying for that customers do not ask for?

The insight. The loss is not mainly about price. It is about complexity. Too many SKUs mean low rotation. Low rotation means waste, and waste means high costs. A service level where the shelves are always full looks like good service, but it costs shrinkage, tied-up capital and overhead. Break the chain at complexity and the rest follows.

The approach.

- A Box Model diagnosis of value proposition, unit economics, operating model and capital allocation
- Fewer SKUs as a hypothesis to test, not a cost-cutting mandate
- Stores segmented by economics: fix first, close only when the problem is structural
- An 80/20 model: central scale on the core range, plus local "hero categories" chosen by store managers who carry real P&L ownership
- A pilot in a small number of stores before anything is rolled out

What it shows. Tracing a result back to its root cause, and designing decision rights and incentives so that central scale and local relevance can coexist.

2. Food institution: purpose is the moat

Industry: Food, culture and public institutions · **Type:** Strategic perspective

Context. A purpose-driven food institution combines a cooking school, consulting and public engagement. The commercial business needs to grow.

The obvious answer. Focus on the clients who pay the most, and cut what does not make money.

The first-principles question. What does the institution have that a competitor cannot buy?

The insight. The hardest and least profitable work, such as public kitchens, school food and institutional change, is not charity. It is the source of a credibility that money cannot buy. Cut it to raise the margin, and you remove exactly what brings the profitable clients in. The business model has to fund the core, not compete with it.

The approach.

- A portfolio split by role. The *flagship* builds credibility and policy influence. The *motor* (corporate courses and subscriptions) earns the margin. The *extensions* (books, licensing, online courses) scale without adding staff.
- Each role gets its own targets: impact and influence, revenue and repeat purchase, reach
- A flywheel: institutional projects attract strong talent and corporate clients, and corporate revenue funds the institutional work

What it shows. Commercial discipline in an organisation whose main asset is purpose and credibility, not price.

3. Asset management: who owns the customer relationship?

Industry: Investment and asset management · **Type:** Strategic perspective

Context. A Danish investment fund is growing fast and has a strong brand. It sells mainly through banks and investment platforms, while cheaper passive products push fees down.

The obvious answer. More marketing and more campaigns.

The first-principles question. Who owns the relationship with the investor, and therefore who captures the long-term customer value?

The insight. The fund does not lack investors, products or content. It lacks a commercial engine of its own. Today its research builds loyalty that the distributor harvests. That is a structural risk to earnings, not a marketing problem. The cheapest growth is retention: every percentage point of lower outflow protects earnings at no acquisition cost.

The approach.

- One engine: **Get · Grow · Keep**. Interest is turned into identified relationships with consent, existing investors are helped to the next relevant step, and relevance is created between transactions.
- Customer economics set the ceiling on what each segment may cost to acquire
- A clear line between investment information and individual advice, agreed with compliance
- Three first tests, each with a control group, a named owner and a stop rule
- A phased engagement with a decision after each phase

What it shows. The same method that works in telecom and insurance, carried into a regulated industry where collecting the data is itself part of the job.

4. Industrial B2B: digital should free up seller time

Industry: Tools and construction, B2B · **Type:** Strategic perspective

Context. The Danish arm of a global tool manufacturer is losing revenue faster than the rest of the group, in a construction market with narrow growth and conflicting forecasts.

The obvious answer. Digitise sales and move customers online.

The first-principles question. What is the scarcest resource in the business, and who will resist the change if incentives do not follow?

The insight. Seller time is the scarcest resource. Customers want to buy on their own until the choice gets hard, and then the seller still matters. Digital should therefore free up seller time, not replace sellers. If the seller loses commission when the customer orders online, digital will be resisted. Not out of ill will, but because the seller does exactly what the system rewards.

The approach.

- Four axioms as the foundation: seller time is scarce, customers want to self-serve until the choice gets hard, near beats far, and the platform is the real purchase
- Customer value sets the ceiling on seller time per customer. A small customer cannot carry more than a fraction of one visit over their whole lifetime.
- Digital customer journeys that start on concrete triggers, such as a contract nearing renewal
- A traffic-light model for retention and a weekly lead forum that closes the loop between marketing and sales
- All effect measured against control groups, with decision points after 30, 60 and 100 days

What it shows. Go-to-market where channel, incentives and customer economics are solved together, and where I am open about where my own experience is thin.

5. B2B design: from signal to conversation

Industry: Design furniture, B2B · **Type:** Advisory

Context. A Danish design company sells to retail chains and the contract market internationally and aims for substantial growth.

The obvious answer. More traffic and more leads.

The first-principles question. Is the problem a lack of interest, or that nobody acts on the interest that already exists?

The insight. The problem was not traffic. The company had plenty of digital signals, but the lead scoring rewarded page views without knowing the customer's size or fit. Nobody owned the step from signal to conversation, so interested companies visited the site without ending up on a call list. The product was proven. The funnel was missing.

The approach.

- A growth bridge split into new key accounts, growth with existing customers and protection of the base. It is calculated both with and without churn, so the target does not rest on an optimistic assumption.
- A named account list and a funnel from awareness through interest and a qualified meeting to a trial order. Conversion rates are hypotheses to be validated in a pilot.
- A buying journey that starts with a concept, not with a product
- Clear roles: design sets the direction, marketing creates and nurtures interest, and sales follows up qualified signals within 48 hours

What it shows. Practical lead management and go-to-market for a mid-sized B2B company, built on the systems it already has.

6. Life science: an incentive plan leaders trust

Industry: Life science and biotech · **Type:** Strategic perspective

Context. A global life-science company has ambitious targets for growth and returns. A commercial incentive programme has to turn those targets into behaviour across several hundred leaders.

The obvious answer. Redesign the bonus model with new metrics.

The first-principles question. When does an incentive plan change behaviour at all?

The insight. An incentive plan only steers behaviour if leaders trust the numbers and can see their own influence in them. Leaders rationally optimise what the plan pays for. That leads to predictable failures: soft targets negotiated in, development cut to lift this year's earnings, investments deferred, costs shifted between units, and lobbying for one-off adjustments after the books close. The rules for this must be agreed before the year starts, not after.

The approach.

- Run it, improve it, scale it. The first 90 days stabilise the live cycle and build a verified baseline before anything is redesigned.
- One controlled path from approved data to payout, with five explicit control points
- Clear governance: finance runs the machine, and owners keep their mandates
- Four hypotheses on manual adjustments, cycle time, disputes and corrections, tested on data. No numbers are assumed in advance.

What it shows. That incentive design is behavioural design. The insight is the same as in my retention work: pay for what people can influence, not for what they inherit.

7. Specialist healthcare: activation, not demand

Industry: Private healthcare, multi-country clinic network · **Type:** Strategic perspective

Context. A clinic network across several Northern European countries treats a common condition and wants to grow.

The obvious answer. Buy more leads.

The first-principles question. If the condition is common, why are so few people treated, and who has an interest in keeping it that way?

The insight. Demand is not the constraint. Public health data show that only a very small share of those affected are treated each year. The gap is about activation and payers. Insurance, public referral and self-pay each have their own reason not to close it. The patient and the surgeon are the same; only the payer changes.

The approach.

- One demand engine in four steps: create interest, build a consented database, match patients to available clinic capacity, convert and learn
- One message built on the patient's motive, with three payment routes behind it
- "Know your cover" dialogue together with insurers and employers, never against them
- A guardrail: inform about cover and rights, and never promise faster treatment

What it shows. Engagement design where the barrier is uncertainty and the payer system, not a lack of interest. Behavioural insight applied in a regulated healthcare market.

8. Social impact: the Klods Hans Model and the Threshold Model

Industry: Municipalities and the social sector · **Type:** Own method development

Context. Some groups fall through, however many programmes are put in place. It costs people a working life and costs society large sums.

The obvious answer. More of the same programmes: courses, job readiness, inclusion.

The first-principles question. What does the target group actually need, and why does the standard approach miss?

I have developed two methods that apply the same thinking to social problems.

The Klods Hans Model is for neurodivergent young people and adults. Existing programmes often park young people instead of preparing them for adult life. The model meets the young person on four dimensions at once: cognitive, sensory, emotional and executive. It works with many small demands rather than a few large ones, and it separates the adult's role (setting the frame) from the young person's choice of how to show what they can do. Paid work is the explicit goal.

The Threshold Model is for citizens who have been stuck on public benefits for many years. The diagnosis is that they are not new to the system. They are stuck in a prolonged in-between state, and generic job readiness does not reach them. The method combines a new professional role, the guide (neither mentor nor caseworker), with translating existing skills and active work on barriers on the employer side. Paid work is crossing the threshold.

Delivery model (both methods). Three phases: diagnosis, change and anchoring. Each phase ends with a formal decision to continue or stop, based on results and socio-economic return. The municipality is co-developer and owns the documentation.

Evidence status. Both models are built on practical experience and are hypothesis-generating. The next step is a controlled pilot.

What it shows. That the commercial principles (the real root cause, incentives, step-by-step proof and measurable results) also work when the "customer" is a citizen and the return is socio-economic.

The common method

Principle	How it recurs in the cases
Root cause before solution	Complexity rather than price, activation rather than demand, ownership rather than marketing
Incentives drive behaviour	Seller commission, bonus rules, store-manager P&L ownership, payers' interests
Customer economics set the limit	Customer value decides acquisition ceiling and seller time
Proof before scale	Pilots, control groups, stop rules and decision points in every case

Documented results from my own career

Lever	Result
Keep, Danish insurer	Churn among the most valuable customers cut from about 18% to about 12%; about DKK 200m retained
Grow, Danish telco	+19,000 incremental sales, about €10m a year, measured against control groups
Get, Danish telco	+DKK 50m with value bundles, despite a higher monthly price

Do you have a problem where the obvious answer does not work? Let's talk about it. Lars Glade · lag@gladeadvisorygroup.dk · +45 61 88 00 08